

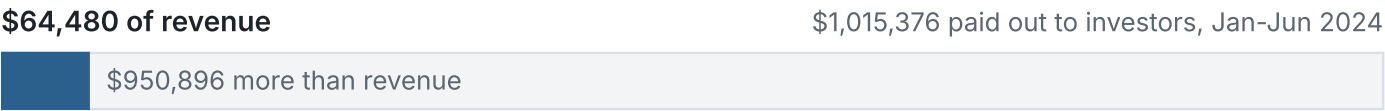
Court now sorts who gets paid

Signal	On October 4, 2026, per TheStreet, the two REITs (real estate investment trusts) that Phoenix American Hospitality sold to retail investors and affiliated owner entities, 16 in all, filed Chapter 11 in a Texas federal court.
Read	Chapter 11 pauses lenders and lawsuits while one court ranks every claim and the hotels keep operating; secured lenders generally rank ahead of shareholders. REIT II holds a 50% joint venture interest in seven Hilton- and Marriott-branded hotels, whose loans were about \$61 million in mid-2024. Investors put in \$86 million. No stated purpose is disclosed.
Cost	The funds' estate pays for the case; the amount is not disclosed. The sponsor and its ex-chief owe \$709,352 in SEC (Securities and Exchange Commission) penalties to the government, not investors.

The simple version

The SEC says payouts pitched at up to 12% a year were “primarily funded by returns of investor capital”; the sponsor settled in June without admitting it. Chapter 11 works like a building that cannot pay every bill: a judge freezes collections, keeps the doors open and sets who is paid first.

H1 2024: paid out far more than revenue



The second fund (REIT II), first half (H1) of 2024, January to June, from its semi-annual SEC filing.

The money walk

1. The raise \$86M Raised from 2,000-plus retail investors, promised up to 12% a year.	2. To Jan 2024 \$1.5M The first fund's only hotel stake; the SEC says it claimed up to 11.	3. In 2023 \$5M+ The first fund's payouts against about \$5,000 of hotel earnings, per the SEC.	4. Mid-2024 ~\$61M Loans at the seven-hotel joint venture. Payouts paused July 15.	5. Jun 2026 \$709,352 Penalties owed to the government by the sponsor and its ex-chief, settled without admitting.
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The alternative, side by side

Chapter 11		Lenders foreclose, hotel by hotel	
Where it is decided	One court, all entities	Where it is decided	Separate actions
Lawsuits and lenders	Paused	Lawsuits and lenders	Proceed
The hotels	Keep operating, same brands	The hotels	Lender or buyer takes each
Investors	Generally behind secured lenders	Investors	Generally behind each hotel's lender

REIT I paid, to 2022 over \$1.4M	Paid, 2023 over \$5M	Earned, to 2022 just over \$200,000	Earned, 2023 about \$5,000	= Not earned, Est at least \$6.2M
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Who else

Who	Counterparty	Size	Status	New or existing	The read
Su-Mei Yen hotels, Chicago	ACORE Capital lender affiliate; EB-5 investors (foreigners investing for visas)	Nearly \$187M foreclosure claim	Chapter 11, Mar 2026	Existing hotels	Owners filed with a foreclosure under way; outside investors wait behind the lender.
Moody National REIT II	Stockholders, lenders	\$171.2M of assets	Payouts suspended; liquidation voted, 2025	Existing hotels	Same hotel type, no court: the quiet exit.
Procaccianti Hotel REIT	Class A holders	\$109.3M portfolio	19.7% of requests to cash out filled, 2026	Existing hotels	Class A NAV (net asset value) per share fell from \$7.14 to \$5.91.
GPB Capital	About 17,000 retail investors	More than \$1.7B raised	Court-appointed receiver runs the assets	Existing businesses	Repayment runs through a court receiver, over years.

What the fine print said

Sponsor fees	Per REIT II's 2021 offering circular: up to 3% of each hotel's price, 1% of hotel revenue each year, and 2.5% of money raised for offering costs.
Debt	Per the same circular, up to 70% of each hotel's value could be borrowed.
Payouts	Voluntarily and temporarily paused July 15, 2024.
Getting out	Shares sold under Regulation A (a lighter-review public offering) are not listed on an exchange.
Penalties	Civil penalties go to the government, not to investors.

What is not being said

The SEC says payouts mostly returned investors' own money.

On June 5, 2026, the SEC said "neither of the funds was profitable and distributions were primarily funded by returns of investor capital." A distribution rate in a fund pitch is a payout policy, not evidence of profit.

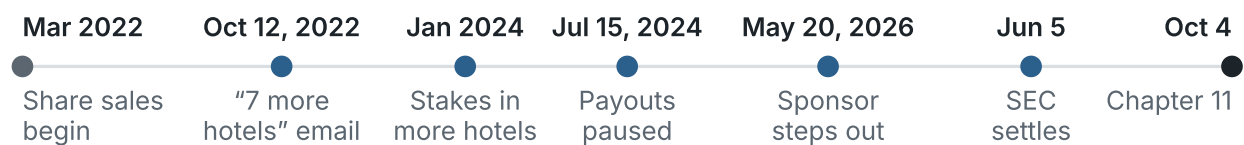
Nelson's judgment orders no repayment to investors.

The sponsor and its former chief executive, William Lee Nelson, settled without admitting the allegations and owe \$709,352 to the government. Investors' money comes back, if at all, through the bankruptcy, where secured lenders generally rank ahead of shareholders.

Hilton and Marriott did not file.

The brands only license their names and are not debtors. On May 20, 2026, Nelson resigned as chief executive and the sponsor's management contract ended, months before the filing. The problem sits in the funds that own the hotel stakes, not in the brands.

The twist: hotels announced in 2022, stakes acquired in 2024



Fact Per the SEC, about 1,300 investors put \$56.6 million into REIT I and about 750 put \$29.4 million into REIT II, March 2022 to July 2024.

The everyday version

Retail money reaches hotels and other real estate through funds that lead with a yield. At GPB Capital, a court-appointed receiver (a manager who runs assets for creditors) had returned \$400 million to investors by March 31, 2026, and still held about \$705 million in cash. Moody National REIT II took the quiet route: it suspended payouts, voted to liquidate and sold hotels outside court.

Where it breaks: here the seven hotels are real, branded and operating, so investor recovery turns on hotel values against the loans, not on finding hidden assets.

Three questions for an executive

For each private fund we hold, what share of the last 12 months' payouts came from operating cash flow?	Then: below 100%, book the difference as return of capital, not yield.
How many dollars of debt rank ahead of each dollar of our equity?	Then: price the position from the hotel value left after the loans, not from the payout rate.
What share of the money raised was invested in assets when payouts began?	Then: if under half, ask where the payouts came from before adding money.

What to watch

- By Nov 13, 2026** Creditors' meeting, sworn answers on the debts. Confirms: debt near the \$61 million of 2024. Breaks: far higher.
- About Feb 1, 2027** The funds' exclusive window to propose a plan ends. Confirms: lenders repaid before investors. Breaks: investors paid alongside or ahead of lenders.

Researched by NodeJ Deep Research. For the full research report, write to julian@nodej.ai.